Q13

Preference shareholders rank after lenders and creditors in the event that the company cannot pay their dividends or repay their investment in the event of financial difficulties. [1]

That suggests that the return offered on preference shares will have to be greater than the interest on loans, otherwise it would be unlikely that investors would buy them. [1]

Preference dividends are not allowed as an expense for tax purposes, unlike interest on loans. [1]

The lack of tax relief combined with the high rate of return makes preference shares very expensive. [1]

Preference shares create the same risks to ordinary shareholders as debt, so issuing preference shares has the effect of increasing gearing. [1]

[Maximum 5]

[Total 5]

Commentary:
This question was answered reasonably well with many candidates making good points about the interest on preference shares and mentioning that the interest did not get tax relief. Rather than just state these points as facts the candidates did apply their knowledge and discuss the points well.

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